

CHAPTER 12 - Implementation (ETFs, Fees, Taxes, Advisors)

“You can’t control the market, but you can control what you pay. You have to try to get yourself on automatic pilot so your emotions don’t kill you.” – Burton Malkiel, author of *A Random Walk Down Wall Street*

The most important principle for all investors is that they have a plan and process for investing in any environment, regardless of how improbable or unfathomable that may be. Are you prepared for all of the possible outcomes, such as declines of 50-100% in any one asset? Are you prepared for currency devaluations, but also massive rallies in stocks or bonds? Can you fathom a world with interest rates at 0.1%? What about at 10%?

Modern portfolio theory holds that there is a tradeoff for investing in assets – you get paid to assume risk. One of the biggest things you can do for your portfolio is to remove your emotional decision-making. Look at the below chart and notice when people were most excited about stocks and most depressed. The exact wrong times! Study after study has shown how bad people are at [timing their investments](#). (It’s not just individuals—it happens to professionals as well.)